July 23, 2026 05:04 PM GMT

ECB Review | Europe

Eyes on the Tide, Swimming Ring in Hand

As expected, the ECB kept rates on hold today. Upside risks to inflation and downside risks to growth were flagged. Barring a large decline in commodity prices, resilient growth and inflation risks are likely to lead the ECB to hike in September

Monetary Policy | Eyeing a September hike: As expected, the ECB remained on hold today. The policy paragraph remained largely unchanged and data will determine the next steps. As we had expected, the ECB made explicit reference to the baseline scenario from June as the recent rally in commodity prices makes this the most fitting for now. Our call remains firmly for a hike in September. A hold would require significantly lower energy prices as well as signs that the June projections were too pessimistic on inflation and too optimistic on growth.

What after September? Our baseline is the ECB on hold after September as we expect core inflation to move broadly sideways in a context where GDP remains below potential. But rates could go higher under certain conditions. Elevated energy prices and upside surprises on core in the next months lead to inflation projections in September looking more persistent than in June. That could be the backdrop for the Council considering more hikes and that discussion could start after the September meeting. In such a situation, we would consider December as the most likely meeting for the next hike.

Rates Strategy: Today's meeting left little room for market surprises. Our attention remains on the relationship between energy prices and the front end, and pricing for upcoming ECB meetings.

FX Strategy: Our economists expect the ECB to raise rates in September. Contrary to some investors, we think tighter ECB policy would boost the EUR. Recent correlations and signals from the shape of the EGB curve suggest that market concerns about higher yields (as seen recently in Japan and the UK) are unlikely to materialize in the Euro Area.

European Banks: Activity is proving more resilient than expected, with loan growth accelerating, and market activity also strong. Together with higher curves vs. the 2% rate we factor-in by end of 2027E, we believe this leaves 2-5% earnings upside to the sector more than compensating for headwinds from the potential increase in MRR. On c. 10x 2027E P/E, we view the sector's risk-reward skew as attractive, and see 11-12x P/E on the cards once geopolitical risks clear. Our Top Picks remain Barclays, Santander, Deutsche and UniCredit.

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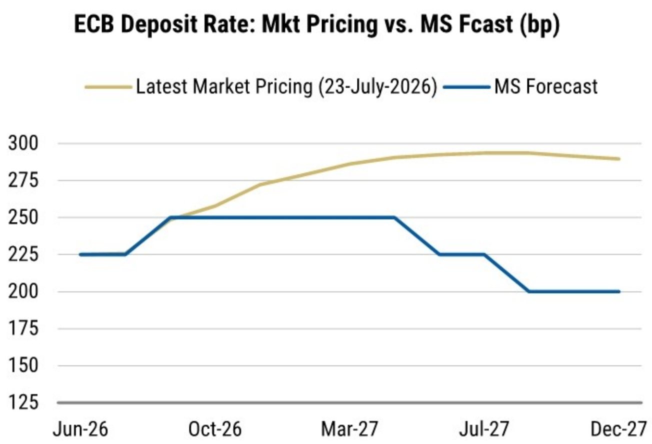
Monetary Policy: Baywatch in Frankfurt

European Economics team

Exhibit 1: We expect the ECB to hike rates in September

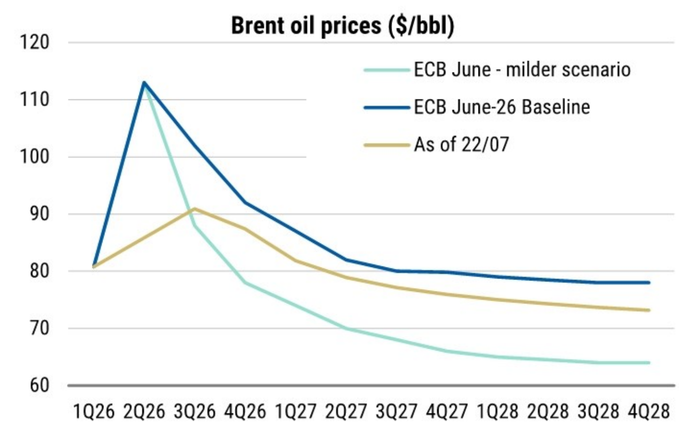


Source: Bloomberg, Morgan Stanley Research forecast

Hold in July: As expected, the ECB remained on hold today. The policy paragraph remained largely unchanged (the reference to close monitoring was included at a different place but we don't see this change as carrying a particular signal). Data will determine the next steps. As we had expected, the ECB made explicit reference to the baseline scenario from June as the recent rally in commodity prices makes this scenario the most fitting for now.

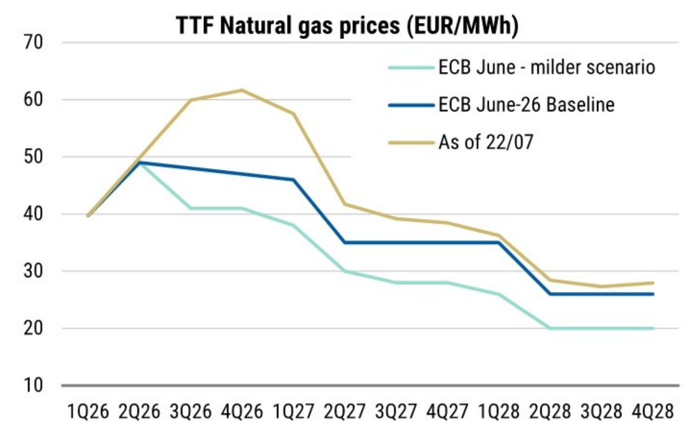
A September hike is likely: While a July hold was consensus, the focus of the market is on the next meetings, starting with September. We don't expect a clear positioning of policy makers before end August/early September, as Governors likely want to see the evolution of commodity prices as well as the July and August HICP and PMIs prints (see calendar release below in Exhibit 4). A hike in September, our baseline, rests on two conditions: (1) Energy prices remaining elevated: as of today, the combination of oil and natural gas prices is close to the June baseline (Exhibit 2 and Exhibit 3). It would likely take a significant drop from here, at least back to the June lows, for the ECB to contemplate a hold at its next meeting. (2) If energy prices were to recede strongly, the ECB would need to see convincing signs that the economy is accelerating (eg PMIs moving closer to 53) and that risks on core inflation are on the upside (eg core inflation edging up in July and August, not only on the back of tourism-related items). To argue the other direction, a hold in September would require significantly lower energy prices (next to an expectation that any agreement which has led to a fall in energy prices, is durable) as well as signs that the June projections were too pessimistic on inflation and too optimistic on growth. From today's perspective, we think this does not look very likely.

Exhibit 2: As of 22/07, oil prices remain a touch below the ECB June baseline...



Source: ECB, Bloomberg, Morgan Stanley Research

Exhibit 3: .... but natural gas prices have moved significantly higher



Source: ECB, Bloomberg, Morgan Stanley Research

And what after September? Beyond September, the front-end pricing has moved up meaningfully. At of today, the ECB is expected to hike to almost 3%, with a distinct probability of another hike as early as October (Exhibit 1). Our baseline is that the ECB will be on hold after September because we expect core inflation to move broadly sideways in a context where GDP remains below potential. But the ECB could indeed go higher under certain conditions. With current oil and natural gas prices, base effects from energy will kick in only late next year. Our revised inflation path (here) sees HICP falling below 2% only in September, which might feel like a relatively distant prospect for some Governors. If, on top of this, core moves up this summer (we expect it will be stable) and knowing the ECB is very vigilant on the transmission of energy costs (see an overview here), this might feed into the ECB September inflation projections. As a result, the new set of inflation projections could look a touch more persistent than in June and pave the way for a discussion on future rates move(s). We see December as the most likely meeting here - the volatile environment asks for caution and the data moves slowly enough for the quarterly pace to look most appropriate. And actual data on second round effects will not be available before the end of the year, and possibly only later. In our view, it would take surprisingly strong prints between 10 September and 29 October (we will have two additional PMIs and one flash HICP) for the ECB's fundamental inflation risk assessment to change and the rate discussion to move to considering back-to-back interest rate increases, leading to a hike in October. We think this appears a low risk at this point and would likely require continued upward pressure on energy prices next to a resilient economy.

Exhibit 4: Key euro area data releases from now until the September meeting

Date	Business and consumer surveys	Growth	Inflation	Wages / Labour market	Monetary policy transmission
23-Jul-26	**ECB Governing Council**				
24-Jul-26	July Flash PMIs				ECB Consumer Expectations Survey (June)
29-Jul-26				ECB Wage tracker	
30-Jul-26	July EC Business surveys				
30-Jul-26		Preliminary Flash EA 2Q26 GDP		June EA Unemployment rate	
31-Jul-26			EA July flash HICP inflation		
14-Aug-26		Flash EA 2Q26 GDP			
21-Aug-26	August Flash PMIs + August consumer confidence			2Q26 EA Negotiated wages	
ca 27-Aug-26					ECB Consumer Expectations Survey (July)
28-Aug-26	August EC Business surveys				
1-Sep-26			EA August flash HICP inflation	July EA Unemployment rate	
7-Sep-26		EA 2Q26 GDP (third estimate)		2Q26 Compensations per employe	
10-Sep-26	**ECB Governing Council with updated 2026-28 projections**				

Source: Eurostat, ECB, S&P Global, Morgan Stanley Research forecasts

Rates Strategy: What's Next?

Luca Salford, Maria Chiara Russo

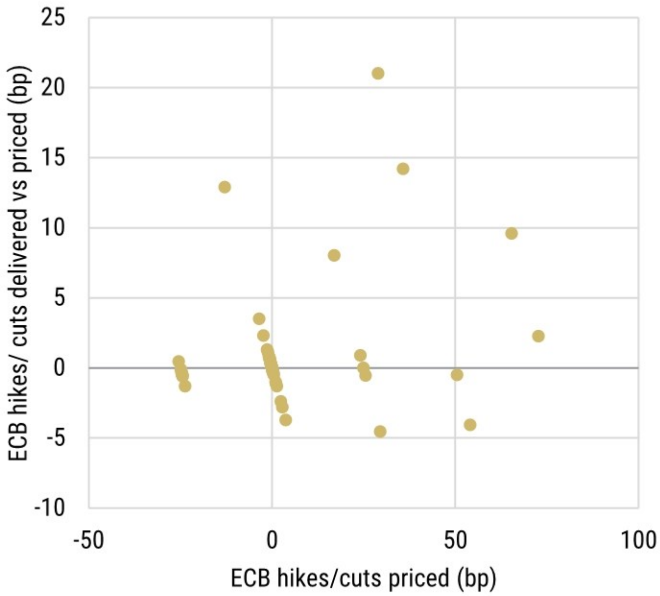
In line with the past few meetings ECB President Lagarde's remarks were carefully calibrated, leaving limited room for the market to be surprised (Exhibit 5).

We entered the meeting with a received position in July despite the seemingly poor risk-reward, similar to the April meeting. The ECB stuck to their modus operandi and, as mentioned, did not surprise the market (Exhibit 6).

Exhibit 5: Today's ECB press conference left limited room for market repricing

Source: Bloomberg, Morgan Stanley Research. Exhibit shows intraday price changes for 2y EUR swap

Exhibit 6: In President Lagarde's era, the ECB has not moved in instances where there has been a close-to-zero move priced by the market the day before the meeting



Source: Bloomberg, Morgan Stanley Research. X-axis: Tightening/easing priced the day before the meeting: First meeting minus €str. Y-axis: Delivered change in depo rate minus tightening/easing priced the day before the meeting.

We have been flagging how the sell off the of the past few days is broadly in line with our previous modelling (see Exhibit 7).

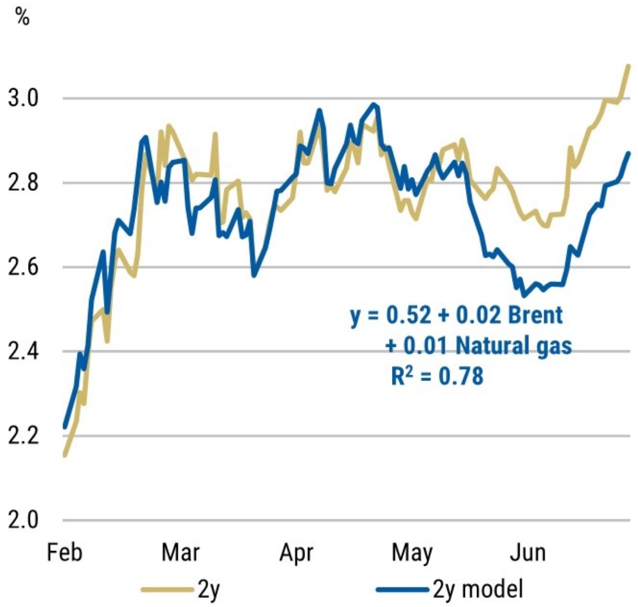
There are two questions that are important for us.

1) Will the relationship between energy prices and the short end continue to hold? As discussed in pieces from a few months ago we believe a serious military escalation raising fears of a global recession and profound market dislocations would be consistent with a break: high energy prices in that environment would not trigger a further sell off at the short end. We however believe we are quite far from that situation.

2) Is the October meeting pricing too much tightening given the experience of April and July? Exhibit 8 shows that October pricing is close to where July pricing stood at a similar horizon. In both April and July, the correlation between the front end and commodity prices pushed ECB pricing sharply higher despite no hike ultimately being delivered. Ahead of April, markets priced nearly 20bp of tightening more than a month before the meeting

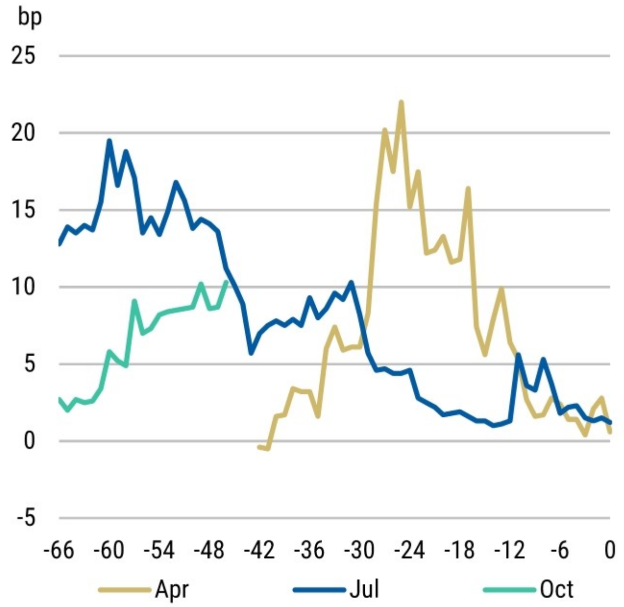
before expectations gradually faded back to zero.

Exhibit 7: The relationship between energy prices and the short end has been pretty solid over the last few days



Source: Bloomberg, Morgan Stanley Research

Exhibit 8: October is not pricing too much at the moment, even assuming the ECB does not hike at that meeting



Source: Bloomberg, Morgan Stanley Research. Exhibit shows market pricing for each meeting from 66 days prior to the meeting date

- **Trade idea: Close receive July ECB currently opened at 220.2bp, with a target at 218.5bp and a stop at 243.5bp**

FX Strategy: A September Hike Likely Would Boost the EUR

Andrew Watrous

In recent weeks, investors have debated whether a tighter ECB policy rate would benefit the EUR.

Some investors have reasoned that a higher ECB policy rate might *weaken* the EUR if a higher policy rate intensifies market concerns about the growth outlook for the Euro Area.

This concern is fundamentally about sentiment: the risk that a hawkish ECB sours the growth outlook before any growth damage materializes. In this article, we test a measurable version of that concern: whether market pricing of restrictive policy has historically coincided with or been followed by currency weakness.

Transmission Channel 1: Growth Slowdown

A relatively restrictive stance of policy is associated with future currency underperformance. Exhibit 9 shows forward G10 currency returns over a 1m to 12m horizon after a month when a central bank was restrictive.

We measure market-implied policy restriction using the spread between the local 1-year yield and the local 5y5y forward yield.

- The 1-year yield captures expectations for near-term policy rates,
- The 5y5y forward yield provides a market-based proxy for the neutral rate (where markets expect policy to settle once the current cycle has passed).

A significantly positive spread (the 1-year yield exceeding the 5y5y forward yield) therefore suggests that current policy is restrictive relative to where markets expect it to settle over the long run. The measure is imperfect, since the 5y5y forward yield also embeds a term premium, but it provides a consistent, market-based comparison across countries and over time.

Currency performance tends to deteriorate after policy becomes deeply restrictive, although the effect emerges with a lag and varies considerably across episodes.

- The average subsequent underperformance is larger at more restrictive thresholds
- Results should be interpreted cautiously because prolonged periods of restriction create overlapping monthly observations.

For example, currencies underperformed average G10 returns versus the USD by -0.3% over the three months after a central bank was at least 0.5pp restrictive (n = 230).

- Currencies underperformed *more* when the central bank was at least 1.0pp restrictive (from -0.3% to -0.4%, n = 96). The domestic currency underperformed by -0.9% over 3 months and -2.5% over twelve months when the central bank was at least 1.5pp restrictive (n = 36).
- We provide results from a recent period (past 15 years) for comparison.

There are multiple potential explanations for currency weakness following policy restriction, including:

- An inverted yield curve (1y yield > 5y5y forward yield) is usually consistent with cuts priced within the next 12 months, and the domestic currency weakens as those cuts are delivered.
- Policy restriction slowed down domestic growth, discouraging capital flows and weakening the currency

Exhibit 9: Currencies underperform *after* policy becomes restrictive

	Degree of Restriction	Subsequent Relative CCY/USD Performance (Average)				
		1m	3m	6m	12m	*# obs.*
1995 - 2026	> 0.0	0.0%	-0.1%	-0.4%	-0.6%	*425*
	> 0.5	0.0%	-0.3%	-0.6%	-1.1%	*230*
	> 1.0	-0.1%	-0.4%	-0.7%	-0.5%	*96*
	> 1.5	-0.3%	-0.9%	-2.2%	-2.5%	*36*
		1m	3m	6m	12m	*# obs.*
2011 - 2026	> 0.0	0.1%	0.1%	0.1%	0.4%	*187*
	> 0.5	0.0%	-0.2%	-0.1%	0.2%	*99*
	> 1.0	0.0%	-0.2%	-0.4%	-0.4%	*26*
	> 1.5	0.0%	-0.3%	-0.8%	-0.8%	*7*

Source: Bloomberg, Macrobond, Morgan Stanley Research

Exhibit 10: Currencies outperform *into* policy restriction

	Degree of Restriction	Prior Relative CCY/USD Performance (Average)				
		1m	3m	6m	12m	*# obs.*
1995 - 2026	> 0.0	0.0%	0.2%	0.4%	0.8%	*425*
	> 0.5	0.0%	0.1%	0.4%	1.2%	*230*
	> 1.0	0.1%	0.1%	0.3%	1.0%	*96*
	> 1.5	0.1%	0.9%	0.4%	0.4%	*36*
		1m	3m	6m	12m	*# obs.*
2011 - 2026	> 0.0	0.1%	0.2%	0.5%	0.8%	*187*
	> 0.5	0.0%	0.2%	0.5%	1.2%	*99*
	> 1.0	0.1%	0.1%	0.4%	2.2%	*26*
	> 1.5	-0.2%	-0.2%	0.7%	-0.3%	*7*

Source: Bloomberg, Macrobond, Morgan Stanley Research

On the other hand, we find that currencies *out*performed average G10 returns in the months *leading up to* restriction. Exhibit 10 shows the inverse of Exhibit 9 . Instead of illustrating returns after months when policy was restrictive, Exhibit 10 shows relative currency performance in the period prior to restriction.

One challenge with the simplified approach above is that long periods of restriction create multiple overlapping observations in Exhibit 9 and Exhibit 10 . To de-duplicate episodes of restriction, Exhibit 11 shows relative FX performance before and after the first month the 1y - 5y5y spread became at least 100bp inverted in a 13 month period.

On average, currencies outperformed as central banks hiked into restriction (average relative performance = 3.7%), and then underperformed in the 12 months afterwards (average = -0.8%).

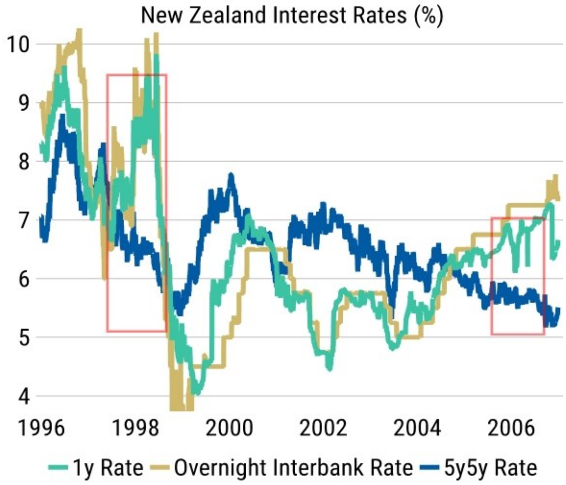
However, there was considerable heterogeneity across these episodes. Much of the post-restriction average underperformance is attributable to two episodes in New Zealand: the year following November 1997 and December 2005.

Exhibit 11: Relative currency performance before and after episodes of 100bp restriction

Restriction Month	Currency	Prior 12m	Following 12m
December 2023	CAD	2.2%	-0.6%
July 2023	CHF	8.0%	2.1%
July 2023	EUR	7.2%	-0.7%
July 2023	GBP	5.7%	1.1%
May 2023	NZD	-0.6%	-0.5%
November 2022	CAD	7.0%	-2.4%
December 2005	NZD	6.9%	-10.5%
December 2000	GBP	0.3%	0.5%
November 1999	GBP	-0.2%	2.5%
February 1998	GBP	7.7%	-0.6%
November 1997	NZD	-2.7%	-13.3%
July 1996	NZD	4.2%	6.2%
April 1995	NZD	2.2%	6.4%
	Average:	**3.7%**	**-0.8%**

Source: Bloomberg, Macrobond, Morgan Stanley Research

Exhibit 12: The RBNZ hiked front-end rates even as longer-term rate expectations drifted lower



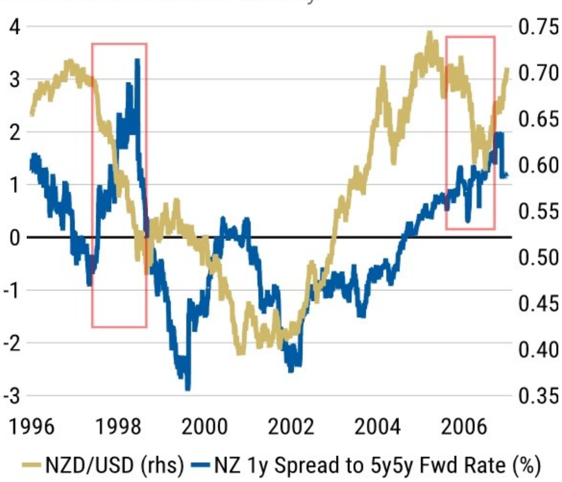
Source: Macrobond, Morgan Stanley Research

During both periods, the RBNZ tightened rates even as growth risks loomed and longer term policy expectations drifted lower (Exhibit 12).

The RBNZ's tightening in 1997 was in part a *result* of NZD weakness. At the time, the RBNZ targeted a Monetary Conditions Index, which entailed a higher policy rate when the currency weakened (a policy framework that a leading scholar labeled "a significant deviation from best international practice"). This trigger aligns with notable NZD weakness during the 12 months into restriction (-2.7%), a deviation from the broader pattern of currency gains into restriction.

In both of these episodes, the degree of policy restriction delivered weighed on both NZD and New Zealand growth (Exhibit 13) Exhibit 14 illustrates that New Zealand growth contracted during at least one quarter during both periods.

Exhibit 13: NZD weakened as the 1y–5y5y spread moved into restrictive territory



Source: Macrobond, Morgan Stanley Research

Exhibit 14: New Zealand growth contracted following both restriction episodes

Source: Macrobond, Morgan Stanley Research

Overall, the takeaway from this survey of policy restriction on currency performance:

- Currencies generally *outperform* as a central bank lifts policy rates into deeply restrictive territory - even if domestic growth ultimately suffers.
- Currencies have on average *underperformed* later as growth slows. Currencies generally underperform over the 6-12 months after restriction reaches ~100bp. On a de-duplicated basis the average 12-month return after restriction is -0.8%, although the average was skewed by a large NZD movement under an unorthodox policy framework. We read the pattern as currencies becoming less well-supported after deep restriction, rather than reliably weakening.

Transmission Channel 2: Debt Sustainability Concerns

Rising yields can also weaken a currency when they increase concerns about the sustainability of public debt.

This channel primarily operates through current and expected future real debt service costs. Market concerns rise when the public debt stock and the cost of servicing it are expected to grow faster than nominal GDP - see here for a deeper discussion of R minus G.

Higher yields have two competing effects. They improve the return available to investors, but they also increase the government's expected interest burden.

The second effect may dominate when public debt is already high, debt matures relatively quickly, or a large share of debt payments is linked to inflation. Investors may conclude that the government will eventually need to raise taxes, reduce spending, tolerate higher inflation, or rely on central bank support.

Each of these outcomes can weigh on the currency. Fiscal tightening can weaken growth, while inflation or central bank financing can reduce the expected real return on domestic assets.

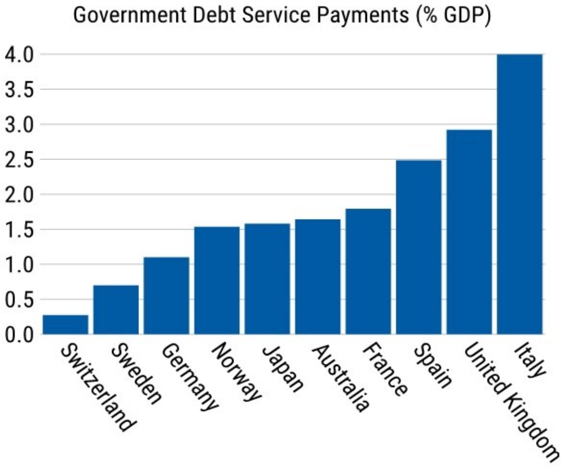
Debt sustainability concerns have been most visible in the UK and Japan in recent years.

In the **UK**, government debt service costs are relatively high as a share of GDP (Exhibit 15). The UK's large stock of inflation-linked debt also means that higher inflation can raise government interest costs relatively quickly.

In **Japan**, debt service payments are relatively modest relative to the size of the domestic economy, but investors have focused more on the expected *future* path of debt service costs.

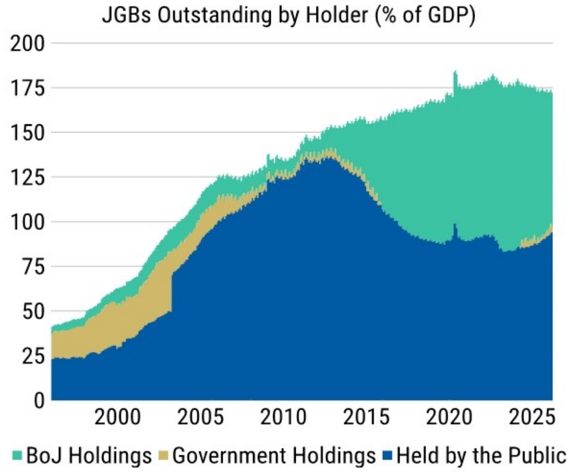
At around 94% of GDP, the stock of JGBs held by the public is not significantly out of line with other G10 economies. However, the potential for additional issuance combined with the BoJ's ongoing reduction in the size of its balance sheet (see these BoJ projections) have raised market concern. Some investors believe that Japan's rising stock of debt held by the public (Exhibit 16) means that a rise in inflation and JGB yields could materially increase interest expenses as government debt is refinanced.

Exhibit 15: Italy and the UK face the highest debt service payments relative to GDP



Source: Macrobond, Morgan Stanley Research

Exhibit 16: JGBs held by the public have risen as a share of GDP as the BoJ shrinks its balance sheet



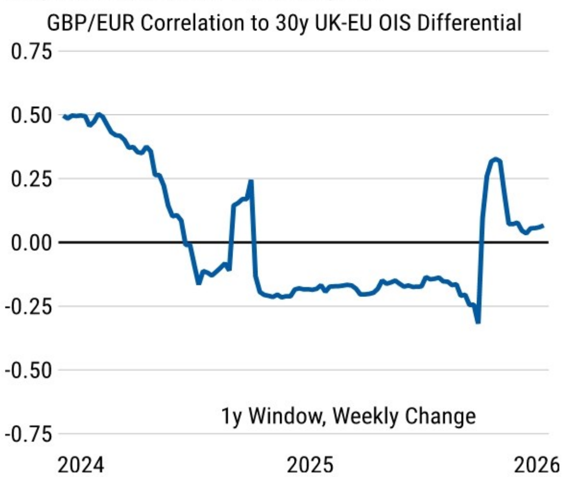
Source: Macrobond, Morgan Stanley Research

While we believe the primary driver of JPY weakness is the broad perception that the BoJ remains behind the curve (particularly relative to other major central banks that are viewed as being closer to a neutral policy stance), concerns about fiscal sustainability can create a negative relationship between long-end yields and the currency. Instead of attracting capital and strengthening the currency, higher yields become a signal of perceived fiscal risk.

There have been extended periods in recent years when GBP has traded inversely with UK-EU long-end OIS differentials, and JPY inversely with foreign-Japan long-end OIS differentials (Exhibit 17 and Exhibit 18). During these periods, an increase in yields was associated with a weaker domestic currency.

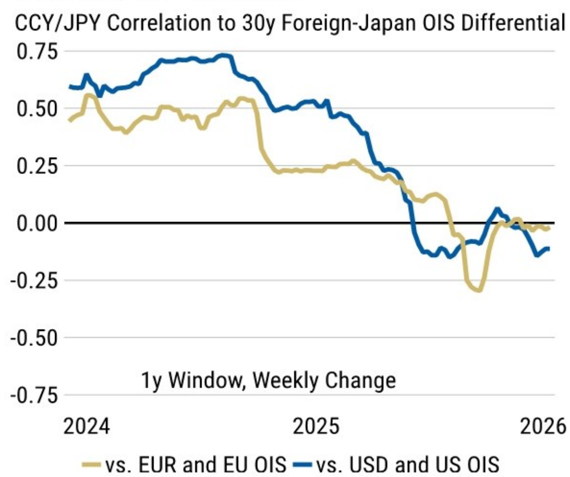
Both Exhibit 17 and Exhibit 18 use the same y-axis scale for comparability.

Exhibit 17: GBP has traded inversely with UK–EU long-end differentials in recent years



Source: Bloomberg, Macrobond, Morgan Stanley Research

Exhibit 18: JPY has traded inversely with foreign–Japan long-end differentials



Source: Bloomberg, Macrobond, Morgan Stanley Research

A negative correlation does not necessarily mean that fiscal concerns caused every move in rates or FX. However, a sustained negative relationship can indicate that investors view higher yields as compensation for risk rather than evidence of stronger growth or higher expected returns.

Transmission Channels Applied to EUR

We think neither of these transmission channels apply to the EUR. As a result, we do not expect that a tighter stance of ECB policy would weaken the EUR.

On the first transmission channel: The Euro Area yield curve does not suggest that the ECB has tightened to a degree that would negatively affect the domestic currency. Norway is the only economy in G10 where the 1y yield is above the 5y5y forward yield; the German spread is -78bp (Exhibit 19).

While positive, the degree of market-implied restriction in Norway appears modest and probably does not represent a meaningful threat to NOK. Currencies have historically only moderately underperformed on average when the 1y rate rose above the 5y5y forward rate.

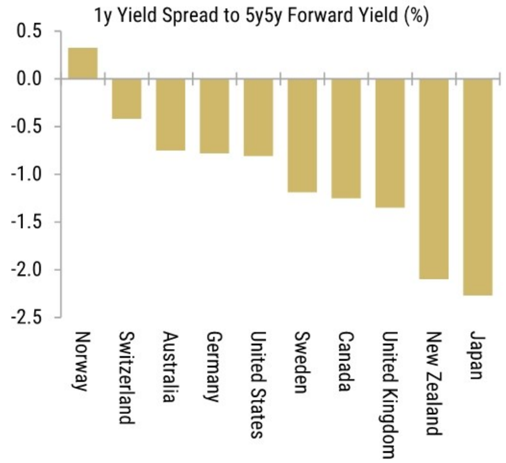
Note that upward sloping curves may be accentuated by term premium. If large term premiums distort the signal regarding where markets have priced the neutral rate, the 1y spread to the 5y5y forward yield may be negative even if the central bank is perceived to be restrictive.

One caveat: after adjusting the 5y5y rate by our roughly 128bp estimate of the German 10-year term premium (see MSDETP10 Index on Bloomberg), the spread between near-term and long-term pricing does suggest that the ECB may be closer to neutral, or slightly restrictive, than the raw –78bp spread implies.

Stripping a premium of that size from the 5y5y forward puts the German 1y around 50bp above the estimated neutral rate rather than below it (–78bp + ~128bp ≈ +50bp). We would not put much weight on a precise level: a 10-year term premium is not the right input for a 5y5y forward, and the appropriate figure is uncertain.

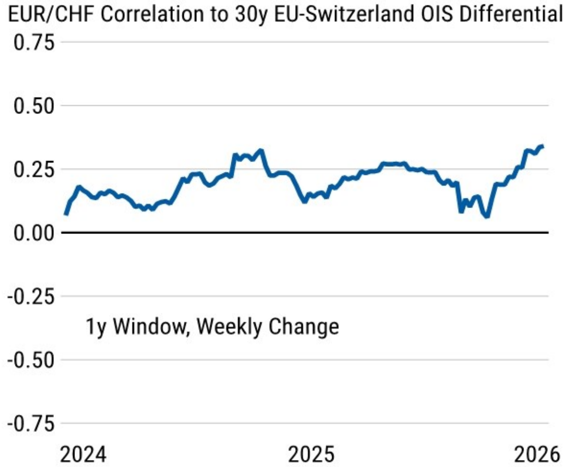
Moreover, the implied term-premium adjusted degree of ECB restriction is modest. ~50bp of restriction sits toward the lower end of the thresholds in Exhibit 9 , well short of the ~100–150bp of restriction that our historical results associate with meaningful subsequent currency weakness. At these moderate levels of restriction, that same history shows little reliable underperformance (particularly in the post-2011 sample) and what weakness does emerge arrives only with a six- to twelve-month lag.

Exhibit 19: Norway is the only G10 economy with a positive 1y–5y5y spread



Source: Bloomberg, Macrobond, Morgan Stanley Research

Exhibit 20: EUR has strengthened as European yields rose relative to Switzerland



Source: Bloomberg, Macrobond, Morgan Stanley Research

On the second transmission channel: We have not recently observed an adverse relationship between rates and FX in the Euro Area. The EUR has generally strengthened when European yields have risen (Exhibit 20).

Exhibit 20 compares EUR/CHF with European-Swiss yield differentials. Switzerland provides a useful comparison because investors generally have limited concerns about Swiss public debt sustainability, meaning that changes in the relationship should primarily reflect developments on the Euro Area side.

As shown in Exhibit 15 , while German and French debt service payments look relatively manageable, Spain and Italy's debt services payments look somewhat elevated relative to GDP.

However, as discussed here we do not see pressure for higher European yields stemming from expansionary fiscal policy, increased supply, or deteriorating credit, and expect EU fiscal rules to incentivize governments against fiscal slippage over time.

Our economists note here that Italy has historically run primary surpluses (averaging around 1.5% of GDP over 2015-19) and has consistently returned to surplus following periods of expansion. And Spain's near-term position has improved, with the deficit falling to around 2.4% of GDP in 2025 from 3.2% a year earlier, allowing its debt ratio to dip below 100%.

Periphery fragmentation remains the clearest risk to this view that tighter ECB policy will be EUR positive. We watch OAT-Bund and BTP-Bund spreads as the signal that markets are beginning to price fiscal risk into yields, which is likely the point at which the adverse rates-FX channel would assert itself.

Overall, the takeaway from this survey of debt sustainability concerns:

- Higher yields can weaken a currency when they raise expected debt service costs faster than they improve expected investment returns. Currencies may weaken when investor concerns rise that nominal growth will not keep pace with the government’s interest burden.

- The UK and Japan have shown periods of this adverse rates-FX relationship. We do not currently see similar evidence for the EUR, and we do not expect this relationship to change in the near term.

As a result, we think the tighter stance of ECB policy our economists expect to boost the EUR, for several reasons:

- As discussed above, a restrictive stance of central bank policy *can* weaken the domestic currency. But the domestic currency outperforms on average as the central bank hikes into restriction, and currency weakness comes later.
- That currency weakness arrives with a lag, typically over the 6–12 months after restriction is reached.
- Even adjusting for term premium, the implied degree of ECB restriction is modest. We think it is well short of the ~100–150bp levels this measure associates with meaningful weakness.
- And even if ECB restriction were to build further, the pattern implies EUR would rise as the ECB tightens (as we expect), with any weakness arriving 6–12 months later rather than priced in today.

Valuation Methodology and Risks

Barclays Bank (BARC.L)

To reach our price target, we use a Gordon growth model, assuming a 12% cost of equity and 1.5% sustainable growth rate, to value 2028 numbers discounted back to 2026.

Risks to Upside

- Better macro backdrop, particularly in the US and UK, with stronger loan growth as demand picks up
- Better IB revenues as investor confidence returns
- Longer implementation timelines for regulatory capital ratios

Risks to Downside

- Execution risk on CIB turnaround
- Market share loss to larger competitors
- Ringfencing, capital levels and conduct investigations

UniCredit S.p.A. (CRDI.MI)

To reach our price target, we use a sum-of-the-parts methodology based on a Gordon growth model on estimated 2028 earnings. We assume c2% perpetual growth rate and a c12% CoE, deducting the impact from an extreme negative scenario in Russia. We adjust for excess capital above our 13% target and value stakes at market price.

Risks to Upside

- Higher growth in Germany materialising sooner than expected
- Share buyback above 80% payout
- Significantly lower CoR than expected arising from a potential release of overlays
- Accretive M&A

Risks to Downside

- Delays in investments in Germany
- Higher than anticipated cost inflation across CEE
- Delays in exploring optionality of excess capital
- Subdued loan growth in Italy
- Competition eroding margins more than expected

Deutsche Bank (DBKGn.DE)

We base our valuation on reported 2028 earnings and a P/BV methodology. We assume an exit return on allocated equity of ~14%, 0% growth rate and ~11.5% cost of equity. We assume steady-state capital of c.14%. We see limited capital surplus and add back dividends. We then discount back to 1-year forward to reach our valuation. Our PT is 100% weighted to our base case.

Risks to Upside

- Better IB/NII revenue trajectory than envisaged

- Better execution on announced cost savings
- Higher RWA optimisation and capital returns

Risks to Downside

- Weaker revenue trajectory than envisaged
- Slower delivery on announced cost savings
- Greater than expected asset quality impact from CRE/leveraged lending portfolio
- Inability to optimise RWAs

Santander (SAN.MC)

To reach our price target, we use a SOTP/Gordon growth valuation, with a 100% base case weighting. We use an average 11.7% cost of equity and 1.5% long-term growth rate.

Risks to Upside

- Improvement in sovereign risk in Europe, more so in Spain
- Recovery in LatAm currencies
- Efficient cost cutting
- Capital beat
- Low CoR, especially in Brazil

Risks to Downside

- Significant deterioration in sovereign risk in Europe, especially Spain
- Worsening asset quality across principal geographies: Brazil, Mexico, Europe (Spain and UK) and US
- Sensitivity to further BRL and GBP moves

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Barclays Bank (BARC.L) - As of 07/23/26 GMT in GBp
Industry : Banks

Stock Rating History: 7/1/21 : E/A; 5/17/22 : E/I; 9/15/22 : E/A; 9/26/23 : O/A; 10/1/24 : O/I; 5/21/25 : O/A

Price Target History: 6/7/21 : 200; 7/29/21 : 205; 9/8/21 : 200; 10/4/21 : 205; 11/2/21 : 240; 4/6/22 : 190; 5/3/22 : 200; 8/5/22 : 210; 10/17/22 : 200; 2/10/23 : 215; 2/23/23 : 210; 7/6/23 : 190; 9/26/23 : 230; 11/28/23 : 235; 2/21/24 : 255; 4/8/24 : 260; 4/25/24 : 270; 5/28/24 : 285; 7/8/24 : 290; 9/9/24 : 300; 10/24/24 : 315; 11/25/24 : 375; 4/9/25 : 350; 5/1/25 : 360; 5/21/25 : 385; 7/29/25 : 400; 9/2/25 : 420; 10/6/25 : 425; 10/23/25 : 455; 11/24/25 : 510; 2/11/26 : 540; 7/1/26 : 610

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Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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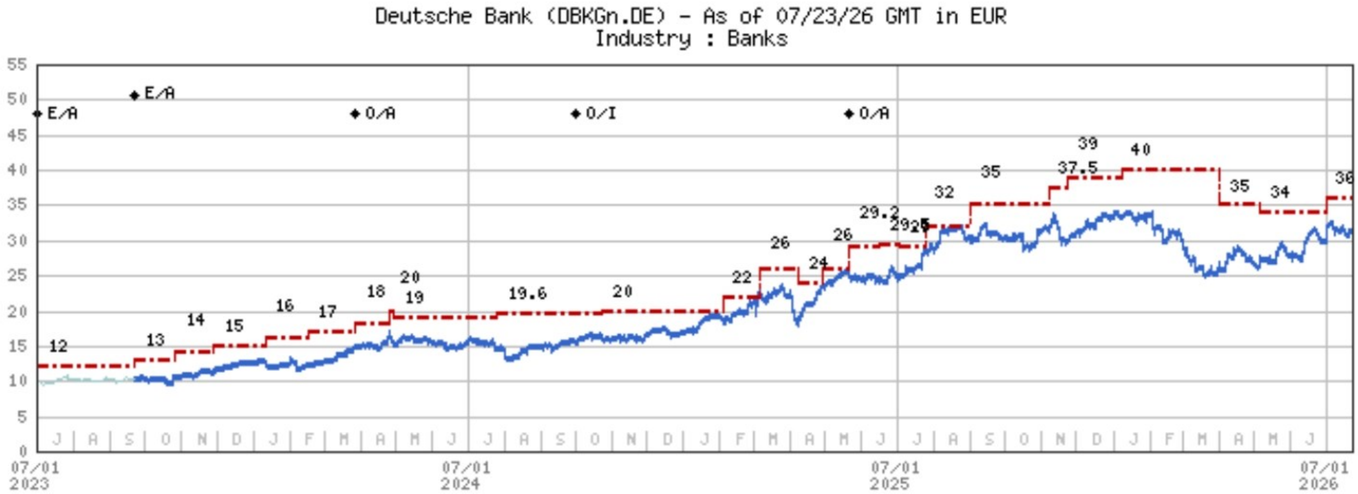

Stock Rating History: 7/1/21 : E/A; 5/17/22 : E/I; 9/15/22 : E/A; 9/22/23 : E/A; 3/27/24 : O/A; 10/1/24 : O/I; 5/21/25 : O/A

Price Target History: 5/7/21 : 12.2; 7/28/21 : 12.8; 10/28/21 : 13.5; 11/29/21 : 14.2; 2/11/22 : 15.4; 4/21/22 : 14.9; 7/13/22 : 12; 9/15/22 : 15; 10/13/22 : 14; 4/5/23 : 12; 9/22/23 : 13; 10/26/23 : 14; 11/28/23 : 15; 1/11/24 : 16; 2/16/24 : 17; 3/27/24 : 18; 4/26/24 : 20; 4/29/24 : 19; 7/26/24 : 19.6; 10/23/24 : 20; 2/3/25 : 22; 3/7/25 : 26; 4/9/25 : 24; 4/29/25 : 26; 5/21/25 : 29.2; 6/16/25 : 29.5; 7/3/25 : 29; 7/25/25 : 32; 9/2/25 : 35; 11/7/25 : 37.5; 11/24/25 : 39; 1/8/26 : 40; 4/1/26 : 35; 5/6/26 : 34; 7/1/26 : 36

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
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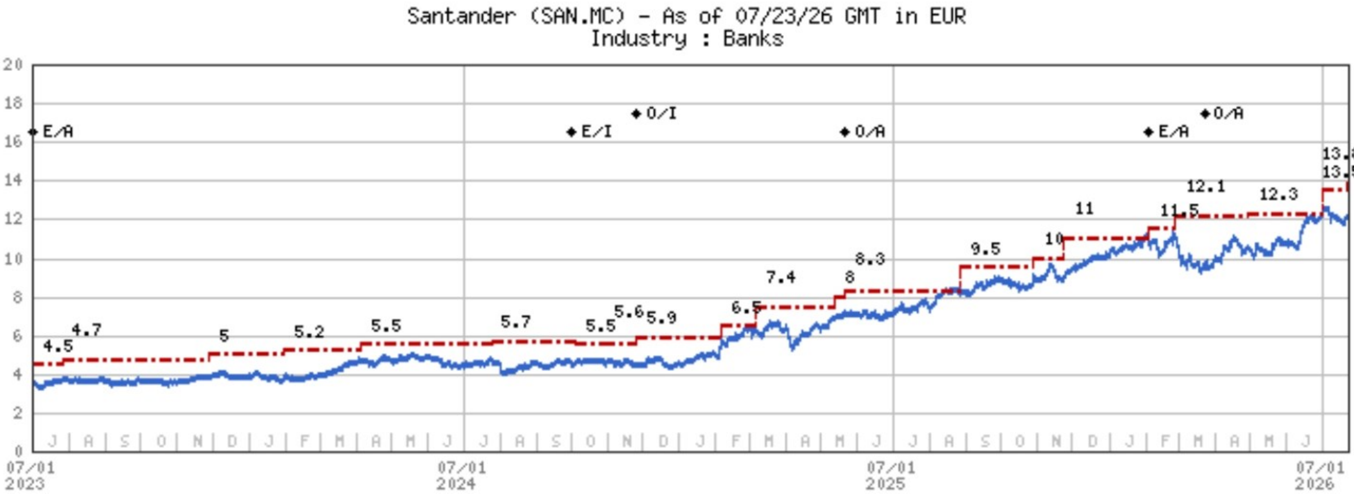

Stock Rating History: 7/1/21 : O/A; 11/12/21 : E/A; 5/17/22 : E/I; 9/15/22 : E/A; 10/1/24 : E/I; 11/25/24 : O/I; 5/21/25 : O/A; 2/4/26 : E/A; 3/23/26 : O/A

Price Target History: 5/18/21 : 4; 11/12/21 : 3.8; 2/2/22 : 3.9; 2/15/22 : 4; 4/4/22 : 4.2; 6/28/22 : 4.3; 7/28/22 : 4; 9/15/22 : 4.1; 12/14/22 : 3.9; 2/3/23 : 4.2; 2/28/23 : 4.4; 4/4/23 : 4.5; 7/26/23 : 4.7; 11/28/23 : 5; 1/31/24 : 5.2; 4/5/24 : 5.5; 7/25/24 : 5.7; 10/4/24 : 5.5; 10/29/24 : 5.6; 11/25/24 : 5.9; 2/6/25 : 6.5; 3/7/25 : 7.4; 5/13/25 : 8; 5/21/25 : 8.3; 8/28/25 : 9.5; 10/29/25 : 10; 11/24/25 : 11; 2/4/26 : 11.5; 2/26/26 : 12.1; 4/29/26 : 12.3; 7/2/26 : 13.5; 7/22/26 : 13.8

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target -·   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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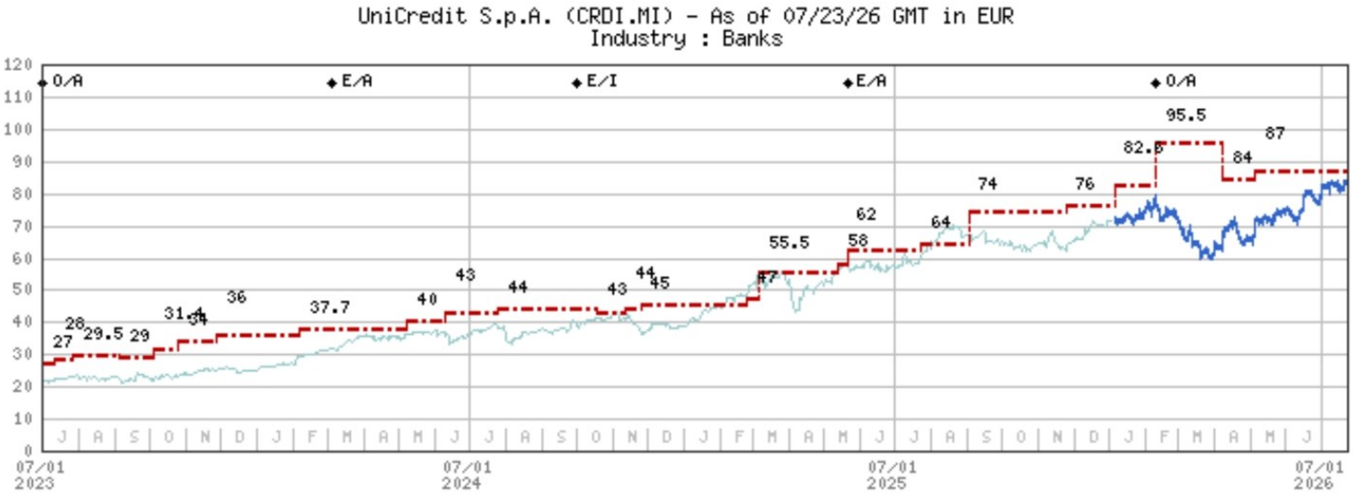

Stock Rating History: 7/1/21 : O/A; 5/17/22 : O/I; 9/15/22 : O/A; 3/5/24 : E/A; 10/1/24 : E/I; 5/21/25 : E/A; 2/10/26 : O/A

Price Target History: 5/20/21 : 12.5; 8/13/21 : 13; 10/13/21 : 13.8; 12/22/21 : 17; 2/15/22 : 19.5; 4/22/22 : 16.5; 7/11/22 : 15.4; 8/18/22 : 15; 9/23/22 : 16; 1/16/23 : 17; 2/9/23 : 21; 4/14/23 : 23; 5/5/23 : 27; 7/11/23 : 28; 7/27/23 : 29.5; 9/5/23 : 29; 10/4/23 : 31.4; 10/26/23 : 34; 11/28/23 : 36; 2/6/24 : 37.7; 5/9/24 : 40; 6/11/24 : 43; 7/26/24 : 44; 10/18/24 : 43; 11/12/24 : 44; 11/25/24 : 45; 2/24/25 : 47; 3/7/25 : 55.5; 5/13/25 : 58; 5/21/25 : 62; 7/23/25 : 64; 9/2/25 : 74; 11/24/25 : 76; 1/5/26 : 82.6; 2/10/26 : 95.5; 4/7/26 : 84; 5/6/26 : 87

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